



Public Competition Assessment

20 March 2007

Transurban Group Limited – proposed acquisition of Sydney Roads Group Limited

Introduction

1. On 8 March 2007, the Australian Competition and Consumer Commission (ACCC) announced that it would not intervene in the proposed acquisition of Sydney Roads Group Limited by Transurban Group Limited (**proposed acquisition**). The ACCC was of the view that the proposed acquisition would be unlikely to have the effect of substantially lessening competition in any relevant market in contravention of section 50 of the *Trade Practices Act 1974* (the **Act**).
2. The ACCC formed its view on the basis of the information provided by the merger parties and information arising from extensive market inquiries. This Public Competition Assessment outlines the basis upon which the ACCC has reached its decision on the proposed acquisition, subject to confidentiality considerations.

Public Competition Assessment

3. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:
 - a merger is rejected;
 - a merger is subject to enforceable undertakings;
 - the merger parties seek such disclosure; or
 - a merger is approved but raises important issues that the ACCC considers should be made public.
4. This Public Competition Assessment has been issued because the proposed acquisition is considered to raise important issues the ACCC considers should be publicly disclosed due to continuing developments in the relevant markets.
5. By issuing Public Competition Assessments, the ACCC aims to provide the market with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the market to the circumstances where the ACCC's assessment of the competition conditions in particular markets is changing, or likely to change.
6. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the

same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.

7. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the ACCC decision, where this is not possible, maintaining confidentiality will be the ACCC's paramount concern, and accordingly a Public Competition Assessment may not definitively explain all issues and the ACCC's analysis of such issues.

The parties

Transurban – the acquirer

8. Transurban Group Limited (**Transurban**) is an international tollroad developer and investor with assets in Australia and an asset in the U.S. (Pocahontas Parkway). It focuses on the long-term ownership and management of tollroads and in particular, tollroads using electronic toll collection.
9. Transurban has ownership interests in three of Australia's tollroads; Citylink Melbourne (**Citylink**) (100%), the Westlink M7 in Sydney (**M7**) (47.5%) and the M2 Motorway (**M2**) in Sydney (100% ownership after an acquisition from the Hills Road Group in 2005).
10. Transurban, or its related entities, are the electronic tolling services providers (**tag issuer**) to the owners of Citylink, the M7 and the M2 employing the brands *Citylink*, *Roam* and *Roam Express* respectively. In addition, Transurban has entered into a long-term contract to supply tolling services (excluding 'back office' facilities) to the owner and operator of the Lane Cove Tunnel in Sydney.

SRG – the target

11. Sydney Roads Group Limited (**SRG**) was established through the demerger of Macquarie Infrastructure Group and was listed on the Australian Stock Exchange in July 2006. SRG has ownership interests in three established Sydney tollroads, namely the M1 Eastern Distributor (**M1**) (71.35%), M5 Motorway (**M5**) (50%) and M4 Motorway (**M4**) (50.61%).¹

¹ According to information obtained by Transurban from ASIC registries and SRG's public prospectus, as well as publicly available information, the significant minority shareholders in each of the tollroads that SRG holds an interest in are:

- **M1**: National Nominees Ltd, J.P. Morgan Nominees Ltd, National Asset Management Ltd and Motor Trades Association of Australia Ltd.
- **M4**: Utilities of Australia Ltd, National Nominees Ltd, Karatal Holdings Pty Ltd, J.P. Morgan Nominees Ltd, Australia Infrastructure Fund Limited and Hastings Fund Management Ltd.
- **M5**: Retail Employees Superannuation, Sunsuper and interests associated with Hasting Funds Management Ltd, Industry Funds Management Pty Ltd and the AMP Infrastructure Equity Fund.

12. SRG's interest in the M5 arises from a 50% interest in the entity that operates the M5, Interlink Roads Pty Ltd (**Interlink**). Interlink's tag issuing business (operating under the *E-way* brand) currently provides electronic tolling services to the three tollroads in which SRG holds an interest (namely the M1, M4 and M5).

Timing

13. The following table outlines the timeline of key events in this matter:

Date	Event
14 Dec 2006	ACCC commenced review under the Merger Review Process Guidelines. Market inquiries commenced.
8 Jan 2007	ACCC's indicative timeline suspended pending response from Transurban in relation to information request.
11 Jan 2007	Closing date for submissions from interested parties.
12 Jan 2007	ACCC received further information requested from Transurban. ACCC's indicative timeline recommenced.
31 Jan 2007	ACCC published a Statement of Issues.
12 Feb 2007	Closing date for submissions on Statement of Issues.
16 Feb 2007	ACCC's indicative timeline suspended pending further information from Transurban.
22 Feb 2007	Former proposed date for announcement of ACCC's findings amended to allow for consultation on Statement of Issues.
23 Feb 2007	ACCC received further information from Transurban. ACCC's indicative timeline recommenced.
1 Mar 2007	Former proposed date for announcement of ACCC's findings amended to allow for further information from Transurban.
8 Mar 2007	ACCC announced it would not oppose the proposed acquisition.

Background

Tollroad construction and ownership

14. The major tollroads currently operating in New South Wales (**NSW**) are the M1, M2, M4, M5, M7, Cross City Tunnel, Harbour Bridge and Harbour Tunnel with the Lane Cove Tunnel about to commence operation.
15. Following a Federal or State government decision to build a new road under a public-private partnership model², an open tender process is run. Bidding for tenders is typically done by consortia that cover all aspects of a project including construction, finance, road maintenance and operations, tolling operations and tag issuing. Market inquiries indicated that there are a significant number of parties that may participate in a bidding consortium for tollroad projects.

² In making decisions regarding construction of a new road the relevant government can choose that the road:

- be publicly owned and funded (eg. Pacific Highway and M5 East);
- be publicly owned with a toll (eg. Sydney Harbour Bridge); or
- involve private ownership, construction and operation (at least for a time) under some kind of Public Private Partnership (eg. Cross City Tunnel and Lane Cove Tunnel).

16. Market inquiries suggested that a consortium is generally led by a major construction company (project sponsor) which recruits other consortium members, manages the relationship with the road authority, ensures finance is in place and provides equity for the project. A special purpose vehicle (SPV) is commonly established to operate the tollroad on behalf of the consortium post-construction.
17. The successful bidding consortium enters into a formal agreement (**Project Deed**) with the government to build, own, operate and, usually, transfer the ownership of the tollroad back to the government at the end of a defined period.³ All operating costs are met by the tollroad owner over this period. The financial return to the consortium comes from an entitlement (concession) granted to charge motorists a toll for use of the tollroad. The owner of the tollroad is responsible for collecting the tolls and operating and maintaining the tollroad as well as for the electronic tolling systems which are used to track use of the road by motorists.

Toll pricing and electronic tolling

18. All NSW tollroad owners are subject to regulation in relation to the toll prices motorists pay to use tollroads. The Project Deed that each road owner has with the NSW Roads and Traffic Authority (RTA) or the NSW Government sets the level of tolls and these agreements usually limit the ability of tollroad owners to unilaterally increase tolls or offer differential pricing.
19. Traditionally, tolls in NSW have been collected in cash at toll booths. However, non-cash collection of tolls using electronic tags and passes has become increasingly prevalent over the past 5 years with a number of recent tollroads implementing full electronic tolling. In NSW, with the exception of the Lane Cove Tunnel, all tollroad operators currently also supply (through related companies) electronic tags to motorists. While the tollroad operators are not permitted to charge any more than the mandated toll when collecting by cash or by tag, in the case of electronic toll collection:
 - a tag issuer may charge administration fees to the users of its tags (although some are subject to RTA approval and constraints in the relevant Project Deed); and
 - in the case of non-tag electronic toll collection, tollroad owners may be permitted to charge an administration fee on top of the toll to recover the costs of collecting the toll. These non-tag electronic tolling products are known as 'passes'.
20. In NSW, most tollroad owners provide tollroad collection and tag issuing services in-house. Market inquiries indicated the approximate shares of electronic tags issued in NSW by each tag issuer are as follows: Interlink (40%), RTA (40%), Transurban (20%) and the Cross City Tunnel with a very small share. Transurban and Queensland Motorways Pty Ltd each currently have a 100% of the tags issued in Victoria and Queensland respectively, but this is likely to change in the near future with new tollroads commencing operation in each state.

³ Such projects are generally referred to as BOOT Schemes.

Interoperability, roaming agreements and roaming fees

21. There are currently tollroads operating in Victoria, NSW and Queensland, all of which comply with technical standards that ensure that motorists can use the electronic tag of their choice on any Australian tollroad. This means that all tollroads and tag products are nationally 'interoperable'. Interoperability is facilitated by a Memorandum of Understanding between all tollroad owners nationally, including the RTA, under which the parties agree to enter into roaming agreements with each other tollroad owner (**roaming agreements**).
22. Roaming agreements are bilateral agreements between each tollroad owner and each tag issuer which provide for the collection and payment of toll revenue by tag issuers to the tollroad owner in exchange for a 'roaming fee'.⁴ The roaming fee which is charged cannot be passed onto the motorist and is therefore a cost to the tollroad owner. There is no regulation of the amount of the roaming fees negotiated between each tag issuer and each tollroad owner.⁵

Proposed Acquisition

23. On 14 December 2006, Transurban announced its intention to acquire SRG through an offer to purchase all the stapled securities in SRG. The opening of the offer for acceptance by shareholders occurred on 18 January 2007 and was scheduled to close on 2 March 2007. The offer was then extended until 30 March 2007.

Market Inquiries

24. The ACCC conducted extensive market inquiries in relation to potential competition issues with a range of industry participants, including competitors, industry bodies, regulatory agencies and other market participants.
25. The ACCC published a Statement of Issues in relation to the proposed acquisition on 31 January 2007 identifying competition issues in relation to:
 - new tollroad construction and ownership;
 - electronic tolling services to motorists; and
 - tolling services to tollroads.
26. A threshold issue in considering these competition issues is the control Transurban would have over the negotiation of roaming fees in NSW. Transurban already has control over the negotiation of roaming fees with respect to tags issued under its *Roam Express* brand. The ACCC considered the extent to which Transurban would control roaming fees charged by Interlink under its *E-way* brand as a result of the proposed acquisition and roaming fees charged by the M7 SPV (in which Transurban has an existing partial interest) under its *Roam* brand.

⁴ Where the tollroad owner and the tag issuer are part of the same group of companies, the roaming fee for toll collection is simply an internal transfer.

⁵ Roaming fees for the Mitcham-Frankston project in Victoria are subject to a form of regulation through the contractual provisions of the Project Deed. The Project Deed between ConnectEast and the Victorian Government provides, in essence, that roaming fees between Victorian tollroad owners should reflect the net incremental marginal cost of providing the roaming service. However, the Project Deed is not binding on CityLink, currently the only tag issuer in Victoria.

Control over roaming fees

27. Post-acquisition, Transurban would have a 50% interest in Interlink and the directors appointed by Transurban would represent 50% of shareholders at a meeting of directors of Interlink. The Interlink constitution requires the support of directors representing 85% of shareholders in order for a resolution to be passed. As a result, the directors appointed by any of the minority shareholders with a greater than 15% interest would be in a position to defeat any resolution put forward.
28. However, it appears that Transurban could also exert negative control and block decisions of the Interlink board as a result of obtaining SRG's 50% interest. Accordingly, it is likely that Transurban could veto any proposal relating to the tag issuing business of Interlink, thereby potentially affecting competition between the tag issuing businesses of Interlink and Transurban.
29. In terms of Transurban's control over the M7's tag base, Transurban has a 47.5% interest in the M7. *Roam* tags issued on the M7 are owned by the M7 SPV. Roam Tolling Pty Ltd (**Roam Tolling**), a wholly owned subsidiary of Transurban, provides tolling services to the M7 SPV on a third party sub-contractor basis. Roam Tolling negotiates roaming agreements on behalf of the M7, subject to approval by the M7 SPV.
30. However, depending on the number of tags that the M7 has issued and the relative number of trips of foreign tags on the M7 and trips by M7 tags on other tollroads, there may not be a financial incentive for the M7 SPV to prevent Roam Tolling from charging increased roaming fees.
31. The ACCC considers Transurban would have the ability to exercise negative control over Interlink's tag business. Transurban also appears to have a primary role in the negotiation of roaming fees for the M7 SPV. As a result, the ACCC considers Transurban would have significant influence over *Roam Express*, *Roam*, and *E-way* and thereby the negotiation of roaming fees for a majority of the tags issued in NSW.

Tollroad construction and ownership

32. The ACCC highlighted a potential concern in its Statement of Issues that a bidding consortium which did not include Transurban may have to build a premium into any bids for tollroads to cover the cost of potentially high roaming fees. This could increase their bid above competitive levels or create such uncertainty as to overall costs that the consortium would be significantly deterred or foreclosed from participating in the tender process for new tollroads.

Materiality of roaming fees

33. To determine whether the proposed acquisition would have the effect of substantially lessening competition in the provision of tollroad construction and ownership, the ACCC considered whether roaming fees are a material cost to consortia bidding on new tollroad projects.

34. Transurban submitted that appropriately discounted roaming fees are immaterial to the overall costs of a new tollroad project bid as a significant increase in roaming fees would only equate to approximately 1 to 2% of project costs.⁶
35. The ACCC took into account submissions from interested parties that roaming fees should be considered in the context of operating costs and not overall bid costs. Roaming fees comprise a significant proportion of operating costs and bidders would not want to make a loss on the toll collection aspect of their operations, despite the fact that it may form a small part of the overall value of the tollroad project.
36. The ACCC considers that an increase in roaming fees is unlikely to lead to a material increase in the bid price of consortia bidding for a new tollroad. However, the ACCC notes the submissions of some interested parties that an increase in roaming fees, when considered in the context of operating costs, could affect the bidding process for future tollroads.
37. Even if roaming fees could be considered a material cost, Transurban's increased control over roaming fees as a result of the proposed acquisition will be in NSW only. For this reason, the ACCC focused its inquiries on the effect of the proposed acquisition on bidding for future tollroads in NSW.
38. Post acquisition, the RTA will have an approximately 40% share of electronic tags issued in NSW and market inquiries indicated that the RTA is unlikely to increase roaming fees above cost recovery levels in the future. This mitigates the issue of the materiality of roaming fees for a new bidder because it is likely that a new NSW tollroad owner would only be exposed to any increase in roaming fees by Transurban for the remaining approximately 60% of its tolling revenue.⁷
39. The issue of the materiality of roaming fees would be further mitigated when the new tollroad owner had the ability to issue its own tags. As the ability to issue tags increases, then the reliance on roaming agreements and the amount of revenue subject to roaming fees is reduced and the materiality of roaming fees is diminished. The ACCC notes that the location of a new tollroad relative to existing tollroads will impact upon the opportunity of a new bidder to issue tags. If the new road is located close to an existing tollroad there is likely to be less opportunity for a new tollroad owner to issue its own tags as the catchment area is more likely to have significant existing tag penetration. Broader constraints relating to the ability of a new tollroad owner to issue tags are discussed below.

Constraints arising from new entry into tag issuing

40. The ACCC considered whether the potential for a new tollroad owner to issue tags would be likely to impose a constraint on the ability of Transurban to increase roaming fees post acquisition.
41. To the extent that roaming fees were set significantly above cost-recovery levels, this would provide an incentive for a new tollroad owner to establish its own tag

⁶ A discount rate is applied in tollroad projects to all operating costs, including roaming fees, to reflect the net present value of these costs. Applying a discount of between 12 to 14% decreases the value of the roaming fees as a proportion of project costs significantly.

⁷ These percentages will vary on a case by case basis depending upon the location of the proposed new tollroad and the tag penetration of each tag issuer in that area.

issuing business in order to minimise its exposure to roaming arrangements and lower its costs with respect to toll collection. New entry into tag issuing would potentially reduce Transurban's economies of scale and raise its costs in tag issuing.

42. Entry into tag issuing would require the new tollroad owner to either:
- actively market tags to motorists that do not already have a tag; or
 - persuade motorists that already have a tag to switch their tag issuer.
43. A new tollroad owner's ability to issue tags to motorists that do not have a tag would depend on whether there remains scope for growth in tag issuing in NSW. Market inquiries indicated that there is some scope for growth in the number of tags issued in NSW (in the order of approximately 25% over the next five years). However, the opportunity to enter into tag issuing will be reduced for some new tollroad projects by the existing high penetration of tags in a number of the main traffic corridors in NSW.⁸
44. In terms of the willingness of motorists to switch tag providers, the physical process of switching tag providers appears to be relatively simple. Generally motorists can close down their account via the internet or phone and then mail or drop off their electronic tag and receive a refund of their initial tag deposit. Market inquiries indicated that there is some level of inertia amongst motorists such that switching may be difficult to achieve in practice due to the low level of priority motorists place on electronic tags. However, this inertia would be likely to be overcome where motorists faced an incentive to switch tag providers through promotions that increased the attractiveness of an alternative tag provider (or through dissatisfaction with the price or service of their existing tag provider).
45. The ACCC considers that, post acquisition, the ability of new tollroad owners to establish a tag issuing business is likely to impose a constraint on the ability of Transurban to increase roaming fees to new tollroad owners. While this constraint is qualified by the practical considerations outlined above, these considerations may be overcome to the extent that any higher roaming fees would provide greater incentive for a potential new tollroad owner to enter tag issuing.

Constraints arising from the role of the RTA

46. The ACCC considered whether the RTA would impose a constraint on the ability of Transurban to influence the bidding process for new tollroads post acquisition. The impact of the proposed acquisition on competition would be reduced if the RTA is able to constrain Transurban due to the RTA's role in tender processes for future NSW tollroads.
47. Market inquiries indicated that it is likely that the RTA could provide a constraint on Transurban by:
- developing tender processes that would limit any advantage held by significant tag issuers; and

⁸ For example, in relation to the proposed M4 East tollroad it is likely that many of the motorists that would use this road would already have a tag to use on the M4 or another Sydney tollroad. In this case, the new tollroad owner for the M4 East is likely to issue a small number of its own tags and would be relying heavily on roaming agreements for its tolling revenue.

- imposing conditions on the successful bidder in the Project Deed for new tollroads.
48. The ACCC considers it likely that the RTA could impose an indirect constraint on Transurban post acquisition, as a result of its role in administering tender processes for new tollroads in NSW.

Conclusion on tollroad construction and ownership

49. The ACCC considers that an increase in roaming fees as a result of the proposed acquisition would account for only a small proportion of overall bid costs and any increase is unlikely to be material to the bidding process for new tollroads. However, the ACCC notes that there are other appropriate measures of the materiality of roaming fees.
50. Even if roaming fees could be considered material generally, in NSW the issue of the materiality of roaming fees is likely to be mitigated by the presence of the RTA with a 40% share of tags issued (thereby reducing the reliance of any new tollroad owner on roaming arrangements with the merged entity).
51. The ACCC also considered that both the scope for a new tollroad owner to issue its own tags to motorists and the role of the RTA in awarding new tollroad projects would also act as constraints on any attempt to increase roaming fees by Transurban.
52. As a result, the ACCC considers that the proposed acquisition is unlikely to result in a substantial lessening of competition in relation to tollroad construction and ownership.

Electronic tolling services to motorists

Possible effect of higher roaming fees on competition between tag issuers

53. The ACCC considered whether any advantage that Transurban had in bidding for new tollroad projects post acquisition could result in a further increase in Transurban's tag base such that, over time, the tag issuing businesses of competitors could be weakened by a scale and cost disadvantage relative to Transurban. This issue was largely dependent on any advantage Transurban would have in bidding for new tollroad projects as a result of the proposed acquisition.
54. As set out above, the ACCC does not consider that Transurban is likely to be in a position to substantially influence bidding processes for tollroad projects as a result of the proposed acquisition. Accordingly, Transurban would not be in a position to further increase its tag base and potentially weaken the tag issuing business of competitors as a result of the proposed acquisition.

Possible effect on administration fees to motorists

55. The ACCC considered whether Transurban may have the ability to raise tag account administration fees charged to motorists as a result of the proposed acquisition.
56. Market inquiries indicated that the RTA and Cross City Tunnel will act as a direct competitive constraint on Transurban as competitors for tag issuing in NSW.

57. In addition, as a condition of Project Deeds for some NSW tollroads, the RTA requires a 'fee-free' tag account be provided to motorists, being a prepaid account with automatic top-up linked to a bank account and having no administration fees. The existence of 'fee free' accounts is likely to provide motorists with alternatives in the event that Transurban sought to increase administration fees post acquisition.
58. The ACCC considers that the proposed acquisition is unlikely to result in a substantial lessening of competition in relation to the provision of electronic tolling services to motorists.

Tolling services to tollroads

59. The ACCC considered whether the proposed acquisition could impact upon the provision of tolling services to tollroads (comprising cash and electronic toll collection, customer service and complaint handling functions). Transurban has agreed to provide these functions on a third party basis to the Lane Cove Tunnel.
60. Market inquiries did not indicate significant concerns in relation to this issue. It appears that while there are examples of third party provision, these functions are usually provided by tollroad owners on an in-house basis. Further, it does not appear the proposed acquisition would reduce competition or increase barriers to entry in the provision of tolling services to tollroads.
61. As a result, the ACCC considers it unlikely that the proposed acquisition would result in a substantial lessening of competition in relation to tolling services to tollroads.

Conclusion

62. On the basis of the above, the ACCC formed the view that the proposed acquisition of SRG by Transurban would not be likely to result in a substantial lessening of competition in any relevant market in contravention of section 50 of the *Trade Practices Act 1974*.